CENTRAL ELECTRICITY REGULATORY COMMISSION
NEW DELHI

Petition No. 863/MP/2025

Coram:
Shri Ramesh Babu V., Member
Shri Harish Dudani, Member
Shri Ravinder Singh Dhillon, Member

Date of Order: 14th January, 2026

In the matter of

Petition under Section 17(3) and 17(4) of the Electricity Act, 2003 for creation of security interest over all the movable and immovable assets of the Petitioner in favour of Catalyst Trusteeship Limited, Respondent No. 2 for the benefit of the lender, Respondent No. 3.

And
In the matter of

Anantapur II REZ Transmission Limited,
5th Floor, RMZ Infinity, Plot No 15, Phase IV,
Sector 18, Gurugram – 122015 **…Petitioner**

Versus

1. **Central Transmission Utility of India Limited,**
Floors No. 5-10, Tower 1, Plot No. 16,
IRCON International Tower, Institutional Area,
Sector 32, Gurugram-122003

2. **Catalyst Trusteeship Limited,**
GDA House, First Floor,
Plot No. 85 S. No. 94 & 95,
Bhusari Colony (Right),
Kothrud, Pune – 411038

3. **Power Finance Corporation Limited,**
Urjanidhi '1', Barakhamba Lane,
Connaught Place, New Delhi -110001 **…Respondents**

Parties Present:

Shri Deep Rao, Advocate, ARTL
Ms. Shikha Sood, Advocate, ARTL
Ms. Iqra Khan, Advocate, ARTL

ORDER

The Petitioner, Anantapur II REZ Transmission Limited (hereinafter referred to as

‘the Petitioner/ ARTL’), has been granted a transmission licence under Section 14 of the Electricity Act, 2003 (hereinafter referred to as ‘the Act’) to develop the Inter-State Transmission System viz. “Transmission system for Integration of Anantapur- II REZ-Phase -I (for 4.5 GW)” (hereinafter referred to as ‘the Transmission System’ or ‘the Project’), the details of which are specified in the schedule attached to the licence issued *vide* Order dated 31.7.2025 in Petition No. 463/TL/2025. Further, vide Order dated 30.06.2025 in Petition No. 462/AT/2025, the Commission adopted the competitively discovered levelised tariff of Rs. 4,486.42 million per annum for the Project. The Petitioner has submitted that the Scheduled Commercial Operation Date (hereinafter referred to as “SCOD”) of the Transmission Project is 31.3.2027.

2. The Petitioner has filed the present Petition for approval for the creation of the security interest over the Petitioner’s assets, including all movable and immovable assets, in favour of Respondent No. 2, Catalyst Trusteeship Limited (“Catalyst”/ “Security Trustee”) and for the benefit of Respondent No.3, Power Finance Corporation Limited (“PFC”/ “Lender”) including its successors, transferees, novatees and assigns for a sum of Rs. 3,455,43,00,000/- (Rupees Three Thousand Four Hundred Fifty-Five Crore and Forty-Three Lakh only). The Petitioner has made the following prayers:

> *“(a) admit and list the instant Petition for an urgent hearing;*
>
> *(b) approve the creation of the security interest by the Petitioner by way of hypothecation/ mortgage/ charge/ pledge/ assignment (as applicable) over the Petitioner’s Assets to the extent described in this Petition, to secure the total commitment to the Lenders aggregating to INR 3455,43,00,000/- (Rupees Three Thousand Four Hundred Fifty- Five Crore and Forty-Three Lakhs only), in favour of Catalyst Trusteeship Limited, Respondent No. 2 for the benefit of the Lender;*
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> *(c) approve the creation of the security interest by the Petitioner by way of hypothecation/ mortgage/ charge/ pledge/ assignment (as applicable) over the Petitioner’s Assets to the extent described in this Petition, to secure the total commitment to the Lender aggregating to INR 3455,43,00,000/- (Rupees Three Thousand Four Hundred Fifty- Five Crore and Forty-Three Lakhs only), in favour of Respondent No. 2 for the benefit of the Lender <u>and</u> for its successors,*

subsequent transferees, novatees, assigns and any refinancing lenders to the Project by way of hypothecation/ assignment/ mortgage (if any);

(d) allow the Lender to down-sell or transfer its financial commitment either in part or full along with the underlying security, in favour of some other bank or financial institution that agree to take over/ novate the debt; and

(e) pass any such other relief as the Commission deems fit and appropriate in the facts and circumstances of the case."

Background

3. The Petitioner has mainly submitted as under:

(a) The Petitioner, in its capacity as a Transmission Service Provider, executed a Transmission Service Agreement (hereinafter referred to as 'the TSA') dated 31.3.2025 with the Central Transmission Utility Limited (hereinafter referred to as 'Respondent No. 1/CTUIL'). Respondent No. 2 herein, Catalyst Trusteeship Limited, is a company incorporated under the Companies Act, 2013 is a Security Trustee for the benefit of the lender, and for its subsequent transferees, assignees, novatees thereof and any refinancing lenders to the Project, and to enter into all relevant financing documents pursuant thereto. Respondent No. 3, Power Finance Corporation Limited, i.e., the Lender, is a company incorporated under the Companies Act, 1956.

(b) The Petitioner, for the purpose of part financing the Project, availed a Rupee Term Loan amounting to Rs. 3455,43,00,000/- from the lender, namely Power Finance Corporation Limited (PFCL), as per the terms and conditions stipulated in the Sanction Letter dated 18.6.2025 and the Facility Agreement dated 23.6.2025. Further, the Petitioner, Catalyst Trusteeship Limited and PFCIL entered into a Tripartite Security Trustee Agreement dated 23.6.2025 wherein Catalyst Trusteeship Limited is acting as a Security Trustee for the

purpose of holding the security interest and the securities on behalf of and for benefit of the Lender (or its assignees, novatees or transferees).

(c) As per the Facility Agreement, the Lender has the right to transfer or assign or novate or securitise or down sell, all or any part of their commitment under the Financing Documents along with the underlying security interest and/ or any of their rights, benefits or obligations thereunder and under other financing/ transaction documents and the Project documents to any bank/ financial institution/ non-banking financial company/ other person at any time.

4. The Petitioner has submitted that pursuant to the terms of the Facility Agreement, the secured obligations of the Petitioner shall be secured by the following security package:

5.1 SECURITY FOR RUPEE TERM LOAN

5.1.1 The Facility together with all Interest, Incidental Charges, Liquidated damages, further interest, prepayment premium, all and any other fees, financing charges, fees/ remuneration payable to the Lender (including its representatives, trustees /agents) costs, charges, expenses and other monies whatsoever as stipulated in or payable under the Financing Documents, shall be secured by charge on the Security Interest stipulated below, to be created in favour of the Security Trustee for the benefit of the Lender, as applicable:

<u>Primary Security</u>

(i) a first charge by way of mortgage over all immovable properties (including over the freehold interest, leasehold interest or sub-leasehold interest of the Borrower in such properties immovable) of the Borrower together with all appurtenances thereon, both present and future, in form and manner acceptable to the Lender;

(ii) a first charge by way of hypothecation, in form and manner acceptable to the Lender, on all the Borrower's movable properties and assets, including plant and machinery, machinery spares, equipment, tools and accessories, furniture, fixtures, vehicles and all other movable assets wherever situated, both present and future;

(iii) a first charge on all the Borrower's Current Assets, including but not limited to, book debts, operating cash flows, uncalled capital, Receivables, commissions, revenue of whatsoever nature and wherever arising, both present and future;

(iv) a first charge over all accounts of the Borrower, including, the Trust and Retention Account and the Sub-Account(s) (including the Debt Service Reserve account of two quarters of principal and interest payments), any letter of credit or any account created for any reserve(s) to be created and maintained (or any account in substitution thereof) that may be opened in accordance with the Trust and Retention Account Agreement and the Financing Documents, or any of the other Project Documents and all funds from time to time deposited therein, the Receivables and all Permitted Investments or other securities representing all amounts credited to the Trust and Retention Account, any letter of credit and other reserves of the Borrower present and future wherever maintained;

(v) assignment in favour of the Security Trustee for the benefit of the Lender, on the following related to the Project/ Borrower:

a) all the right, title, interest, benefits, claims and demands whatsoever of the Borrower in the Project Documents (including but not limited to memorandum of understanding (MOU), package/construction contracts, O&M related agreements, service contracts, etc. as applicable, and including amendments or modifications to such Project Documents, if any, but excluding Transmission License/Transmission Service Agreement for Connectivity with Central Transmission of Utility of India Limited), duly acknowledged and consented to by the relevant counter parties to such Project Documents; provided that the Borrower shall assign Transmission Licence/ Transmission Service Agreement, as applicable, in favour of Lender within 30 (thirty) days of receipt of approval, if granted by the appropriate Governmental Authority;

b) the right, title, interest, benefits, claims and demands of the Borrower in, to and under all the Clearances (and shall include amendments or modifications to such Clearances, if any);

c) all the rights, titles, interests, licenses, benefits, claims and demands whatsoever of the Borrower in any letter of credit, guarantee, performance bond, bank guarantee (and shall include amendments or modifications thereto, if any) provided by any Project Participant;

d) all the rights, titles, interests, benefits, claims and demands whatsoever of the Borrower under all Insurance Contracts (and shall include amendments or modifications to such Insurance Contracts, if any) and Insurance Proceeds;

e) assignment of guarantees from EPC Contractor relating to the Project along with other guarantees and indemnities (and shall include amendments or modifications thereto, if any) provided by any Project Participant;

f) all intangible assets of the Borrower, including but not limited to, goodwill, intellectual property rights, present and future, in a form and manner acceptable to the Lender.

It includes amendments/ modifications regarding (a) to (f) above from time to time.

Collateral Security

(i) pledge of Equity Shares both present and future, held by the Pledgor aggregating to the Specified Percentage, free from all restrictive covenants, lien or other encumbrance under any contract, arrangement or agreement including but not limited to any shareholders agreement (if any) of the Borrower;

(ii) a charge/ pledge over Quasi Equity aggregating to the Specified Percentage, infused in the Borrower by the Promoter(s), until the Final Settlement Date;

Interim Collateral Security

(iii) save and except as otherwise provided herein, a pledge of 25% (twenty five percent) of the Equity Share Capital and 25% of CCDs of the Borrower, free from all restrictive covenants, lien or other encumbrance under any contract, arrangement or agreement including but not limited to any shareholders agreement (if any) of the Borrower, shall only remain till the creation and perfection of Security Interest in Clause 5.1.1 (i) to (v).

*The security specified in this Clause 5.1 is referred to as the "**Security**", which shall include any further or additional Security Interest created in terms of Clauses 5.6, 5.7 and 5.8 of this Agreement.*

The Lender agrees that the aforesaid Security Interest listed under Clause 5.1.1 (i) to Clause 5.1.1 (viii) shall be on a first ranking pari passu basis inter se the Lenders.

The Lender agrees that save and except the charge to be created on the DSRA under Clause 5.1.1 (iv) above and assignment under Clause 5.1.l(v), the aforesaid charges listed under Clause 5.1.1 (i) to 5.1.1 (v) may be extended by way of a first ranking pari passu charge for securing all amounts payable to the with Working Capital Lenders and performance bank guarantee/performance bank guarantee lenders, to secure non-fund based working capital limit & Performance bank guarantees which shall not exceed Rs. 142.00 Crores, subject to such lenders sharing securities stipulated by them on pari-passu basis with the Lenders.

Additionally, we understand that the Security Trustee has been appointed in the transaction and accordingly all the security shall be created in favour of the Security Trustee for the benefit of the Lenders. Further, bank/ financial institution issuing letter of credit for payments to Contractors/ subcontractors shall be allowed to have an exclusive charge on fixed deposit created by Borrower with such bank/ financial institutes for issuance of such letter of credit."

5. The Petitioner submitted that as per Article 15.2.2 of the TSA dated 31.3.2025, the Petitioner may create any encumbrance over all or part of its receivables or its

Transmission Assets in favour of its lender(s) or lenders' representative (as defined in the TSA) as security for amounts payable under the Financing Agreements.

6. Accordingly, the Petitioner has filed the present Petition under Sections 17(3) and 17(4) of the Act, read with Article 15.2 of the TSA, seeking prior approval of the Commission for the creation of a Security Interest over the assets including the movable and immovable assets for the Project in favour of the Security Trustee for the benefit of the lender and for its subsequent transferees, assignees, novatees thereof by way of hypothecation/ assignment/ mortgage to secure the total commitment of the lender aggregating to Rs. 3455,43,00,000/-

Hearing dated 25.11.2025

7. The Petition was called out for the hearing on 25.11.2025 after notice to the Respondents. *Vide* Record of Proceedings (hereinafter referred to as "RoP") for the hearing dated 25.11.2025, the Respondents were granted the opportunity to file their respective replies.

Hearing dated 16.12.2025

8. During the course of the hearing, the learned counsel for the Petitioner submitted that no reply has been filed by the Respondents despite notice. Considering the submissions of the Petitioner, the matter was reserved for order.

Analysis and Decision

9. We have considered the submissions made by the Petitioner and perused the documents placed on record. The Petitioner approached the lender, PFCIL for part financing the Petitioner's Project and availed a Rupee Term Loan amounting to Rs. 3,455,43,00,000/- as per the terms and conditions stipulated in the Sanction letter dated 18.6.2025 and executed a Facility Agreement with PFCIL on 23.6.2025. Further, the Petitioner, Catalyst Trusteeship Limited, and PFCIL entered into a Tripartite Security

Trustee Agreement dated 23.6.2025 wherein Catalyst Trusteeship Limited is acting as a Security Trustee for the purpose of holding the security interest and holding the securities on behalf of and for benefit of the lender (or its assignees, novatees or transferees).

10. The Petitioner has submitted that the estimated total project cost considering IDC and pre-operative expenses is Rs. 4607.24 crore. The details of the Project Cost are as under:

Original estimated Project Cost (as per the Agreement)	**Rs. in crore**
Hard Cost	4190
IDC	378.42
Pre-operative Expenses & Financing Charges	38.82
Total	**4607.24**

11. The details of finance submitted by the Petitioner is an under:

Means of finance (as per Agreement)	**Rs. in crore**
Promoter's Contribution	1151.81
Rupee Term Loan	3455.43
Total	**4607.24**

12. The transmission projects are capital intensive projects requiring large capital investment. These projects are financed through loans. It is normal practice followed by financial institution/ banking industry to ask for sufficient security from the borrower to back the loan in order to mitigate the credit risk of the lenders. In the instant case, lender, PFCIL has agreed to provide the Rupee Term Loan of Rs.3,455.43 crore and for the said purpose has entered into a Facility Agreement dated 23.6.2025 with the Petitioner. Further, the Petitioner has executed a Security Trustee Agreement dated 23.6.2025 with the Security Trustee, Catalyst Trusteeship Limited and PFCIL for the purpose of holding the security interest and holding the securities on behalf of and for benefit of the lender (or its assignees, novatees or transferees).

13. The Petitioner has submitted that the Petitioner is permitted to create encumbrances over Project Assets in accordance with Article 15.2.2 of the TSA. Under Article 15.2.2 of the TSA, the Petitioner may create any encumbrance over all or part of its receivables or its Transmission Assets in favour of its lender(s) or lenders' representative (as defined in the TSA) as security for amounts payable under the Financing Agreements. The relevant extract of Article 15.2 is extracted below:

> "*15.2. Permitted Charges:*
>
> *15.2.1. Neither Party shall create or permit to subsist any encumbrance over all or any of its rights and benefits under this Agreement.*
>
> *15.2.2. However, the TSP may create any encumbrance over all or part of the receivables, or the Project Assets of the Project in favour of the Lenders or the Lenders' Representative on their behalf, as security for amounts payable under the Financing Agreements and any other amounts agreed by the Parties.*
>
> *Provided that:*
>
> *i. the Lenders or the Lenders' Representative on their behalf shall have entered into the Financing Agreements and agreed in writing to the provisions of this Agreement; and*
>
> *ii. any encumbrance granted by the TSP in accordance with this Article 15.2.2 shall contain provisions pursuant to which the Lenders or the Lender's Representative on their behalf agrees unconditionally with the TSP to release from such encumbrances upon payment by the TSP to the Lenders of all amounts due under the Financing Agreements."*

14. Sub-sections (3) and (4) of Section 17 of the Act provides as under:

> *"17. (3) No licensee shall any time assign his licence or transfer his utility, or any part hereof, by sale, lease, exchange or otherwise without the prior approval of the Appropriate Commission.*
>
> *(4) Any agreement relating to any transaction specified in sub-section (1) or sub-section (3), unless made with the prior approval of the Appropriate Commission, shall be void."*

As per the above provisions, a licensee is required to obtain the approval of the Commission for assigning its licence or transferring its utility or any part thereof by way

of sale, lease, exchange or otherwise and entering into an agreement relating to any of these transactions.

15. Accordingly, we accord approval allowing the Petitioner to create a security interest in favour of the Security Trustee, namely, Catalyst Trusteeship Limited by way of mortgage or any other security document on project assets by execution of an indenture of Mortgage and financing documents of the Project. The Petitioner is directed to submit a signed copy of the Indenture of Mortgage for the Project immediately after its execution.

16. This decision of ours is in accordance with Regulation 8 of the Central Electricity Regulatory Commission (Procedure, Terms and Conditions for grant of Transmission Licence and other related matters) Regulations, 2024, which reads as under:

> *"8. Assignment of Licence: In case of default by a licensee in debt repayment, the Commission may, on an application made by the lenders of the licensee, assign the licence to a nominee of the lenders."*

17. Accordingly, in case of default by the licensee in debt repayment, the Commission may, on a joint application made by the licensee, lender, security trustee and the nominee, approve the assignment of the licence to a nominee of the lender. Therefore, specific prior approval of the Commission for assigning the licence to the nominee of Security Trustee or transfer of any assets to them shall always be needed. Lastly, finance documents and statements may be filed by the Petitioner as and when required by the Commission for any specific purpose.

18. Petition No. 863/MP/2025 is disposed of in terms of the above.

Sd/- **(Harish Dudani)** **Member**	**sd/-** **(Ramesh Babu V.)** **Member**	**sd/-** **(Ravinder Singh Dhillon)** **Member**